

SUMMARY OF NEXT STEPS

Order Processing Efficiency Improvement Project | Define Phase → Measure Phase Transition

1. DEFINE PHASE COMPLETION STATUS

Phase Duration: 3 weeks (December 2-20, 2025)

Status: ✓ COMPLETE (All artifacts finalized)

Deliverable	Status	Sign-Off
Project Charter	✓ Complete & Approved	VP Operations (Sponsor)
Stakeholder Analysis	✓ Complete	Black Belt PM
Stakeholder Commitment Scale	✓ Complete	Black Belt PM
Communication Plan	✓ Complete	Black Belt PM
CTS Summary	✓ Complete	Customer Service + Black Belt
Project Plan (Full DMAIC)	✓ Complete	VP Operations (Sponsor)
SIPOC Diagram	✓ Complete	Warehouse Manager + Black Belt

2. KEY ACCOMPLISHMENTS - DEFINE PHASE

✓ **Charter Approved & Authorized**

Clear business case established with 16:1 ROI. Project scope well-defined. Budget (\$75K) and timeline (4 months) approved by Finance and Operations.

✓ **Stakeholder Alignment Achieved**

8 of 8 key stakeholders engaged. 6 of 8 stakeholders at desired commitment level (75% of stakeholder base aligned). Finance moving from skeptical → supportive through monthly ROI tracking.

✓ **Customer Voice Captured**

5 critical-to-satisfaction (CTS) metrics identified from Voice of Customer (VOC) interviews and surveys. Requirements translated to measurable internal metrics.

✓ **Process Scope Defined**

High-level SIPOC created. Process boundaries clear. 6 key process steps identified (Receipt → Verification → Picking → Packing → QC → Shipping).

✓ **Communication Framework Established**

Communication plan with stakeholder-specific cadences created. Weekly team meetings, bi-weekly operations/finance updates, monthly steering committee in place.

3. TRANSITION TO MEASURE PHASE (WEEKS 4-6)

Start Date: December 23, 2025 (Week 4)

Duration: 3 weeks

Immediate Actions (Dec 23-27):

Action 1: Finalize measurement system design

- Identify data sources and collection points
- Create data collection forms/templates
- Assign data collectors

Owner: Green Belt Lead | **Due:** Dec 27

Action 2: Setup data collection infrastructure

- Configure WMS for real-time data extraction
- Prepare spreadsheets/database for metrics
- Test data collection processes

Owner: IT Specialist + Green Belt | **Due:** Dec 27

Action 3: Train data collectors

- Conduct 2-hour training with warehouse team
- Provide documentation & checklists
- Dry run with sample orders

Owner: Warehouse Manager + Green Belt | **Due:** Dec 24

Measure Phase Primary Activities:

Activity 1: Establish Baseline Metrics

Collect 2 weeks of historical and real-time data on:

- Cycle time by process step
- First-pass yield (accuracy)
- Process variation
- Bottleneck identification

Duration: Weeks 4-5 | **Owner:** Green Belts

Activity 2: Detailed Process Mapping

Create detailed flowcharts for each process step:

- Document current state processes
- Identify decision points & loops
- Map data/information flow
- Identify stakeholders at each step

Duration: Weeks 4-6 | **Owner:** Black Belt + Warehouse Mgr

Activity 3: Measurement System Analysis (MSA)

Validate measurement system adequacy:

- Assess data accuracy & repeatability
- Identify measurement variation
- Refine data collection if needed

Duration: Week 5-6 | **Owner:** Green Belt Lead

4. CRITICAL SUCCESS FACTORS FOR MEASURE PHASE

Critical Success Factor	Why Important	Owner Responsibility	Key Metric
Accurate Baseline Data Collection	Foundation for all future analysis; inaccurate baseline invalidates project	Green Belt + Warehouse Team	100% data collection accuracy; zero missing data points
IT System Data Access	Cannot measure without reliable data access to WMS, order system, inventory	IT Specialist	Real-time access confirmed; data feeds validated
Staff Compliance with New Processes	Data collectors must follow new collection procedures; inconsistency ruins data quality	Warehouse Manager	95%+ compliance with data collection procedures observed
Process Stability During Measurement	Unusual events (illness, system outages) during baseline collection skew results	Black Belt PM	Flag unusual events; note in baseline report
Stakeholder Engagement Maintained	Measure phase requires ongoing stakeholder involvement; disengagement creates delays	Black Belt PM	Stakeholder attendance ≥90% at meetings; commitment level maintained

5. RISKS & MITIGATION STRATEGIES

Risk 1: Data Quality Issues

Potential Impact: Poor quality baseline data could invalidate entire analysis

Likelihood: Medium (35%)

Mitigation:

- Implement spot-checking of collected data (daily audits)
- Train data collectors thoroughly before Week 4
- Have backup data collection method (manual if IT system fails)
- Statistical validation of baseline data before moving to Analyze phase

Risk 2: IT System Access / Data Delays

Potential Impact: Cannot extract real-time data; project delayed

Likelihood: Medium (25%)

Mitigation:

- Pre-test IT data access during Weeks 1-3
- Have IT identify backup data extraction method
- Escalate to CIO immediately if access blocked
- Establish manual data collection as contingency

Risk 3: Holiday Season Impact on Data Validity

Potential Impact: December-January volume spikes may not represent normal operations

Likelihood: High (70%)

Mitigation:

- Extend baseline collection into February (4 weeks vs. 2 weeks)
- Separately analyze holiday vs. non-holiday periods
- Note seasonal variation in baseline report
- Adjust targets if needed based on seasonality analysis

Risk 4: Staff Resistance to Additional Tracking

Potential Impact: Data collection compliance low; incomplete data

Likelihood: Medium (30%)

Mitigation:

- Explain importance and purpose of data collection to staff
- Emphasize data is for process improvement, NOT individual performance monitoring
- Keep data collection simple and unburdensome
- Recognize and appreciate staff cooperation

6. MEASURE PHASE DELIVERABLES & GATE REVIEW

Go/No-Go Gate Review: End of Week 6 (January 31, 2026)

Deliverable	Success Criteria for Go Decision	Owner
Baseline Metrics Report	All 5 CTS metrics established with confidence intervals; historical data 2+ weeks; confirmed to be representative	Green Belt Lead
Detailed Process Map	All 6 process steps documented with flowcharts, decision points, cycle times, and stakeholder involvement	Black Belt + Warehouse Mgr
Measurement System Analysis	Measurement system validated as adequate (MSA results show <10% variation); data collection procedures validated	Green Belt Lead
Process Capability Analysis	Baseline process capability determined; gap between current state and target CTSs quantified	Green Belt Lead
Bottleneck Analysis	Top 3 bottlenecks identified with cycle time data; prioritized for Analyze phase	Black Belt + Process Analyst
Measure Phase Report	Executive summary of findings, baseline metrics, next steps for Analyze phase	Black Belt PM

Go/No-Go Decision Criteria:

- ✓ All 5 CTS baseline metrics established with confidence
- ✓ Measurement system validated as adequate
- ✓ Process variation understood and documented
- ✓ Bottlenecks clearly identified and prioritized
- ✓ Data quality acceptable (≥95% completeness, <5% errors)
- ✓ Stakeholder alignment maintained (≥80% participation)
- **If ALL criteria met → Proceed to Analyze Phase**
- **If ANY criteria not met → Extend Measure Phase or recalibrate project**

7. ADDITIONAL TOOLS & OPTIONAL ACTIVITIES

Tools Used Beyond Required Artifacts:

1. Voice of Customer (VOC) Interviews

Why Used: CTS summary required customer input; web data alone was insufficient

Benefit: Identified "order visibility" as unmet need not captured in customer surveys

Impact: Improved CTS completeness and relevance; increased customer focus in project

2. Preliminary Process Flowchart

Why Used: SIPOC provided context but team needed visual understanding of detailed flows

Benefit: Revealed 3 critical process handoffs causing delays; identified specific improvement opportunities

Impact: Focused Measure phase data collection on highest-impact areas

3. Financial Impact Analysis

Why Used: Project charter business case needed detailed quantification for sponsor credibility

Benefit: Calculated 16:1 ROI with sensitivity analysis; addressed Finance skepticism with data

Impact: Secured Finance Director support and budget approval early

4. Stakeholder Engagement Plan

Why Used: Standard stakeholder analysis insufficient for multi-phase project; proactive engagement critical

Benefit: Identified specific barriers to support (Finance skepticism, IT resource conflicts) with targeted mitigation

Impact: Prevented potential project derailment; built commitment foundation for Measure phase

Recommended Optional Tools for Measure Phase:

- **Process Capability Analysis (PCA):** Statistical analysis to understand process variation relative to customer requirements
- **Spaghetti Diagram:** Warehouse layout visualization to identify picking path inefficiencies
- **Takt Time Analysis:** Determine required process speed to meet customer demand
- **Value Stream Mapping (VSM):** Detailed process mapping showing value-adding vs. non-value-adding activities

8. PROJECT READINESS FOR MEASURE PHASE

Define Phase Completion Checklist:

- ✓ Executive sponsor committed and available for steering meetings
- ✓ Project team fully assigned (7 resources allocated)
- ✓ Budget approved (\$75,000)
- ✓ Charter signed by all required parties
- ✓ Customer requirements (CTS) defined and validated
- ✓ Process scope understood (SIPOC complete)
- ✓ Communication plan established
- ✓ Stakeholder commitment at 75%+ desired level
- ✓ Finance moved from skeptical to supportive
- ✓ IT committed to system access and support
- ✓ Warehouse team informed and ready for data collection
- ✓ Project governance structure in place

✓ **PROJECT IS READY TO PROCEED TO MEASURE PHASE**

9. OVERALL PROJECT STATUS & CONFIDENCE LEVEL

Define Phase Status: ✓ COMPLETE (All artifacts finalized and approved)

Project Health: GREEN (On track, no major risks)

Stakeholder Alignment: GREEN (75% at desired commitment; 2 stakeholders being actively converted)

Budget Status: GREEN (Within budget; \$75K approved with contingency)

Timeline Status: GREEN (On schedule; Week 3 complete, Week 4 ready to start)

Overall Project Success Confidence: 85%

Confidence Rationale: Strong business case, clear customer requirements, committed stakeholders, experienced team, and realistic timeline support high confidence. Risks (data quality, IT access, holiday impact) are manageable with mitigation strategies in place.

Document Version: 1.0 | **Date:** December 20, 2025

Approved By: VP Operations (Sponsor) | **Date:** Dec 20, 2025

Next Gate Review: January 31, 2026 (End of Measure Phase)